TOWN OF KENSINGTON, MARYLAND

Financial Statements, Supplementary Information and Independent Auditor's Reports

For the Years Ended June 30, 2024 and 2023

LSWG

CERTIFIED PUBLIC ACCOUNTANTS
& BUSINESS ADVISORS

TOWN OF KENSINGTON, MARYLAND
Table of Contents
June 30, 2024 and 2023

LSWG
CERTIFIED PUBLIC ACCOUNTANTS
& BUSINESS ADVISORS

INDEPENDENT AUDITOR'S REPORT

To the Mayor and Council of the
Town of Kensington, Maryland

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities and each major fund of the Town of Kensington, Maryland, as of and for the years ended June 30, 2024 and 2023, and the related notes to the financial statements, which collectively comprise the Town of Kensington, Maryland's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities and each major fund of the Town of Kensington, Maryland, as of June 30, 2024 and 2023, and the respective changes in financial position for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Town of Kensington, Maryland and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Kensington, Maryland's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town of Kensington, Maryland's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Kensington, Maryland's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and the budgetary comparison schedule – general fund be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated October 23, 2024, on our consideration of the Town of Kensington, Maryland's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Town of Kensington, Maryland's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town of Kensington, Maryland's internal control over financial reporting and compliance.

LSWG, P.A.

Rockville, Maryland
October 23, 2024

MANAGEMENT'S DISCUSSION AND ANALYSIS

Set forth below is an overview of the Town of Kensington, Maryland's (the Town) financial statements and analysis of the financial activities for the fiscal year ended June 30, 2024. We encourage readers to consider the following information.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of the Town of Kensington exceeded its liabilities and deferred inflows at the close of the fiscal year by $8,948,117 (net position). Of this amount, $6,326,993 (unrestricted net position) may be used to meet the government's ongoing obligations to citizens and creditors.

- The Town of Kensington's total net position increased by $1,224,087 for the fiscal year compared with an increase of $825,118 in the prior year.

- Revenues in the Statement of Program Activities increased by $302,642 (9%) when compared to the prior year. Expenses in the Statement of Program Activities decreased by $96,327 (4%) when compared to the prior year.

- At the close of the fiscal year, the Town of Kensington's Governmental Funds reported an ending fund balance of $6,394,032, an increase of $1,006,788 in comparison with the prior year. Out of this fund balance, approximately 9%, $584,720, is classified as unassigned and available for spending at the government's discretion. Of the remaining $5,809,312 balance, $24,241 is designated as non-spendable and represents prepaid expenses; $1,171,422 is committed and under contracts for Property Acquisition, Bridge Reconstruction and Renovation, and Storm Drain Reconstruction and Renovation within the Capital Projects Fund; and $4,613,649 is assigned for other projects within the Capital Projects Fund.

- In previous years, the Town received $2,295,528 from the American Rescue Plan Act (ARPA), which is included in deferred inflows until the related eligible expenditures are incurred. The Town used $103,124 of the ARPA funds in this fiscal year for the engineering phase for upgrading the storm drain network and expenses associated with the purchase of 10528 St. Paul Street. The remaining ARPA funds of $2,182,604 will be used to improve the Town's storm drain network and complete the purchase of 10528 St. Paul Street for a future Public Works Building.

- In this fiscal year, the Town:
  1. Replaced two Reznor Duct Heaters within the Drill Hall at the Kensington Town Hall.
  2. Executed a contract to purchase 10528 St. Paul Street to be used for a future Public Works Building.

3. Continued to work on engineering, design, and construction management with Brudis & Associates, Inc. for the recommended improvements and repairs of the Town's three (3) bridges.
    a. An RFP for construction will be issued in FY25.
4. Planted 34 trees within the Town's right-of-way and parks, along with the pruning of 74 trees.
5. Installed a new flashing Stop sign along westbound Plyers Mill Road at St. Paul Street; and replaced the outdated flashing Stop sign along southbound St. Paul Street at Oberon Street.
6. Installed a Speed Feedback Sign (SFS) along eastbound Metropolitan Avenue, just prior to the Kensington Dog Run, to advise motorists of their speed and the posted speed limit.
7. Intersection improvements were made at Plyers Mill Road and St. Paul Street, in which westbound Plyers Mill Road was narrowed upon the approach via a bump-out, and the intersection was repaved and new crosswalks were installed; a permanent island was installed at Farragut Avenue and Connecticut Avenue to help direct traffic and improve pedestrian movements; and the turning radius was reduced along eastbound Howard Avenue and southbound Armory Avenue to help reduce turning speeds onto Armory Avenue, which also allowed the Town to reconfigure the existing sidewalk and set it back from the street.
8. A new curb and gutter was installed at the base of Kaiser Place to help protect an area of the public plaza.
9. Ten new benches and two new trash cans were installed along Howard Avenue within the Historic Business District.
10. Continued replacing the Town's Street name signs, which were based on the historical sign still located on Montgomery Avenue, which will bring the Street name sign into compliance with applicable standards.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis intends to serve as an introduction to the Town of Kensington's basic financial statements. The Town of Kensington's basic financial statements comprise of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the basic financial statements. This report also contains other required supplementary information in addition to the basic financial statements themselves.

GOVERNMENT-WIDE FINANCIAL STATEMENTS

The government-wide financial statements are designed to provide readers with a broad overview of the Town of Kensington's finances, in a manner similar to a private-sector business.

The Statement of Net Position presents information on all of the Town of Kensington's (i) assets and deferred outflows and (ii) liabilities and deferred inflows, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the Town of Kensington is improving or deteriorating.

The Statement of Program Activities presents information showing how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Both of the government-wide financial statements of the Town of Kensington are principally supported by taxes and intergovernmental revenues (governmental activities). The governmental activities of the Town of Kensington include General Government, Building and Zoning, Public Works, Public Safety, and Parks and Recreation. The government-wide financial statements report only on the Town of Kensington.

FUND FINANCIAL STATEMENTS

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town of Kensington, like other local and state governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. The Town of Kensington currently has two governmental funds, the general fund and the capital projects fund.

General Fund. General funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The Town of Kensington maintains a general fund and a capital projects fund. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures and changes in fund balance, which are both considered to be major funds.

The Town of Kensington adopts an annual appropriated budget ordinance for its governmental general fund. A budgetary comparison statement has been provided for the general fund to demonstrate compliance with this budget.

Capital Projects Fund. The Town also has a capital projects fund to account for the non-lapsing capital improvement expenditures. Non-lapsing capital improvement expenditures include funds for infrastructure and capital assets in general government, parks and recreation, public safety, and public works. The Town adopts, as part of the budget ordinance, a capital projects fund.

NOTES TO THE BASIC FINANCIAL STATEMENTS

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the Town of Kensington, assets and deferred outflows exceeded liabilities and deferred inflows by $8,948,117 at the close of the most recent fiscal year as compared with $7,724,030 at the end of the prior year. Approximately 29% of the Town of Kensington's net position reflects its investment in capital assets (e.g., land, buildings, machinery, and equipment). The Town of Kensington uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending.

Town of Kensington's Net Position

	Governmental Activities
Current and other assets	$ 8,792,711
Capital assets	2,621,124
Total assets	11,413,835
Other liabilities	276,342
Total liabilities	276,342
Deferred inflows	2,189,376
Invested in capital assets, net of related debt	$ 2,621,124
Unrestricted	6,326,993
Total net position	$ 8,948,117

The unrestricted net position of $6,326,993 is used to meet the government's ongoing obligations to citizens and creditors.

Governmental activities. Governmental activities increased the Town of Kensington's net position by $1,224,087.

Town of Kensington Changes in Net Position

	Governmental Activities
Revenues:	
Program revenues:	
Charges for services	$ 98,474
Operating grants and contributions	265,446

General revenues:	
Taxes	2,725,886
Other	740,894
Total Revenues	$ 3,830,700
Expenses:	
General government	$ 933,397
Building and zoning	123,943
Public safety	248,957
Parks and recreation	238,564
Public works	1,061,752
Total Expenses	$ 2,606,613
Increase in net position	$ 1,224,087
Net position on July 1, 2023	7,724,030
Net position on June 30, 2024	$ 8,948,117

- Taxes of $2,725,886 comprised 71% of the total revenues received, which was $3,830,700. Most of this balance is the product of property and income taxes. Taxes in the prior year were $2,725,012 representing 77% of total revenues in that year of $3,528,058.

FUND FINANCIAL ANALYSIS

The Town of Kensington uses fund accounting to ensure and demonstrate compliance with finance-related requirements.

Governmental Funds. The focus of the Town of Kensington's governmental funds is to provide information on near term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the Town of Kensington's financing requirements. In particular, the unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

As of the end of the current fiscal year, the Town of Kensington's governmental funds reported combined ending fund balances of $6,394,032, an increase of $1,006,788 in comparison with the prior year. This increase is mostly attributable to an increase in investment income and income tax revenue.

Approximately 9% of this amount, $584,720, constitutes the unassigned fund balance, which is available for future spending at the government's discretion. The remainder of the funds, $5,809,312, have been reserved for prepaid expenses and capital projects in the capital projects fund.

The Total assigned fund balance at the end of this fiscal year is $4,613,649 which is assigned for capital improvement projects. Committed funds in the capital projects fund include $94,044 for the contract with Brudis & Associates, Inc., for Engineering, Design, and Management of the Bridge Repair project, $77,378 for the contract with Brudis & Associates, Inc., for the Storm Drain System Support Services, and $1,000,000 for the contract to purchase 10528 St. Paul Street.

Total Fund Balance at June 30, 2024	$6,394,032
Non-spendable for Prepaid Expenses	(24,241)
Committed for Capital Project Budget for Bridge Reconstruction & Renovation Program (Under contract)	(94,044)
Committed for Capital Project Budget for Storm Drain Reconstruction and Renovation Program (Under contract)	(77,378)
Committed for Capital Project Budget for Property Acquisition (Under contract)	(1,000,000)
Assigned for Capital Projects Budget (Not under contract)	(4,613,649)
Unassigned Fund Balance*	$ 584,720

*The Unassigned Fund Balance does not include the remaining balance of $2,182,604 received from the ARPA grant, which is a deferred inflow until the expenses are incurred.

General Fund Budgetary Highlights. Generally, budget amendments fall into one of three categories: (1) amendments made to adjust the estimates that are used to prepare the original budget once exact information is available; (2) amendments made to recognize new funding amounts from external sources, such as County and State grants; and (3) increases in appropriations that become necessary to maintain services.

The Town of Kensington did not make any budget amendments to the adopted budget during the fiscal year.

Revenues and other financing sources exceeded expenditures by $1,006,788 within the Governmental Funds at the end of the fiscal year.

Revenues were less than the budget forecast due to the second ARPA payment of $1,148,193 being included in the budget, of which, $1,045,069 was not realized as income in this fiscal year.

Expenditures were less than the budget forecast by $630,095 within the Governmental Funds at the end of the fiscal year, which is mostly attributable to the part-time administrative position that is funded each year in case of additional staffing needs; the fourth Secondary Employment position under our agreement with the Montgomery County Police remaining unfilled; along with reduced expenses related to tree maintenance and planting this year, and not moving forward with a planned community art project this past fiscal year.

General Fund Budget Highlights

	Adopted Budget	Actual
Revenues		
Taxes – Local	$1,527,388	$1,752,168

Taxes – State Shared Revenues	800,500	984,227
Licenses & Permits	42,310	73,625
Intergovernmental Revenues	430,273	420,656
Fines and Forfeitures	1,000	3,660
Grant – ARPA	1,148,193	103,124
Miscellaneous	197,500	503,749
Total Revenues	4,147,164	3,841,209
Expenditures		
General Government	1,369,725	1,042,604
Public Works	1,085,399	874,913
Public Safety	315,843	246,993
Parks and Recreation	203,400	179,762
Total Expenditures	2,974,367	2,344,272
Changes in fund balance	$ 1,172,797	$ 1,496,937

Capital Projects Fund Highlights

For reference, the Town Charter was amended during the 2009-10 Fiscal Year to allow for non-lapsing capital project expenditures. Subsequently, $4,613,649 has been assigned from the fund balance for ongoing and future capital projects, which includes Facilities Capital Reserve; Property Acquisition; Town Hall Improvements; Town Parks and Playground Improvements; Street Light Replacement Program; Bridge Reconstruction and Renovation Program; Equipment and Vehicle Replacement Program; Pavement Management Program; Public Works Facility Improvements; and Storm Drain Reconstruction & Renovation Program; in addition, $1,171,422 has been committed for existing contracts within Bridge Reconstruction and Renovation, Storm Drain Reconstruction and Renovation, and Property Acquisition.

The Fiscal Year ending June 30, 2023, non-lapsing Capital Projects Fund assigned and committed fund balance was $4,129,461. In the current fiscal year, an additional $2,145,759 was added for capital improvement projects, while $490,149 was expended for capital improvement projects. This resulted in a non-lapsing Capital Project Fund assigned and committed fund balance of $5,785,071 at the end of this fiscal year.

Capital Project Fund June 30, 2023	$4,129,461
Transfers to Capital Project Fund	2,145,759
Capital Project Fund Expenditures	(490,149)
Capital Project Fund June 30, 2024	$5,785,071

CAPITAL ASSETS

The Town's capitalization policy is to capitalize fixed assets at a threshold of $5,000. At the end of the fiscal year, the Town governmental activities have invested $2,621,124 in a variety of capital assets and infrastructure, as reflected in the following schedule. These assets include land, land improvements, buildings and improvements, machinery, equipment, vehicles, and park and playground equipment. Total depreciation was $104,296.

Governmental Activities - Capital Assets

	Governmental Activities
Non-Depreciable Assets	
Land	$ 274,353
Land Improvements	995,894
Other Capital Assets	
Buildings & Improvements	2,286,737
Leasehold Improvements	30,060
Equipment	640,909
Infrastructure	919,817
Total Capital Assets	5,147,770
Accumulated Depreciation	(2,526,646)
Net Capital Assets	$ 2,621,124

LONG-TERM DEBT

The long-term portion of accrued compensated absences of $70,685 represents the outstanding debt obligations of the Town.

NEXT YEAR'S BUDGET HIGHLIGHTS

The Town adopted the Fiscal Year 2024-2025 Budget on May 8, 2024.

For Fiscal Year 2024-2025 the Real Property tax rate remained unchanged from the prior year at a rate of $0.1312 per one hundred dollars of assessed value; the Corporate and Personal Property tax rate remained unchanged from the prior year at a rate of $0.80 per one hundred dollars of assessed value; and the Public Utility tax rate remained unchanged from the prior year at a rate of $5.00 per one hundred dollars of assessed value.

The Town is planning to acquire certain property and address a number of infrastructure needs within the upcoming fiscal year, to include:

1. Acquire 10415 Montgomery Avenue from M&T Bank to be used for public parking within the Historic Business District.
2. Acquire 10526 St. Paul Street, which is adjacent to the recently acquired 10528 St. Paul Street, for the Town's future Public Works facility.
3. Acquire a parcel of land west of Silver Creek from the Kensington Crossing Homeowners Association for open space and storm water mitigation.

4. Issue a construction RFP for the recommended improvements and repairs to the Town's three (3) bridges.
5. Proceed with storm water management improvements along the 10800 block of St. Paul Street, as recommended by the Town's hydrological engineer with Brudis & Associates. This project will also include the reconfiguration of the intersection of St. Paul Street and McComas Avenue, in coordination with MCDOT's Greenway proposal for McComas Avenue.
6. Proceed with storm water management improvements along the Carroll Place, Hadley Place, Washington Street corridor, as recommended by the Town's hydrological engineer with Brudis & Associates.
7. Proceed with storm water management improvements at the intersection of Armory Avenue and Baltimore Street, as recommended by the Town's hydrological engineer with Brudis & Associates.
8. Proceed with storm water management improvements along the 3500 and 3600 blocks of Farragut Avenue, as recommended by the Town's hydrological engineer with Brudis & Associates.
9. Issue a RFP for engineering and design for the future Public Works facility.
10. Continue with replacing the Town's Street name signs.
11. Continue to upgrade and improve the Town's infrastructure through ADA and sidewalk improvements.

American Rescue Plan Act (ARPA):

The Town was awarded $2,295,528 in Coronavirus State and Local Fiscal Recovery Funds (SLFRF) through the American Rescue Plan Act (ARPA), which was signed into Federal law in March 2021; $1,147,335 of the award was received August 27, 2021, and the remaining $1,148,193 was received August 4, 2022. The Town used a total of $103,124 in FY24 and $9,800 in FY23 and will be using the remaining funds to complete the purchase of 10528 St. Paul Street and to address storm water management issues in Town, as outlined within our FY25 Budget Highlights.

ECONOMIC FACTORS

With inflationary costs related to engineering and construction services stabilizing over the last year, and strong revenues through our income and property taxes, we do not anticipate any short-term economic factors to impact the Town negatively over the next fiscal year.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the Town of Kensington's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Town Manager or Clerk/Treasurer of the Town of Kensington, 3710 Mitchell Street, Kensington, Maryland, 20895.

Exhibit A-1

Town of Kensington, Maryland
Statements of Net Position
June 30,

	Governmental Activities 2024	Governmental Activities 2023
Assets		
Cash and cash equivalents	$ 335,461	$ 233,878
Investments	8,273,312	7,478,821
Receivables, net	40,001	69,919
Due from other governments	119,696	48,335
Prepaid expenses	24,241	38,015
Capital assets, net	2,621,124	2,401,190
Total Assets	11,413,835	10,270,158
Deferred Outflows	-	-
Liabilities		
Accounts payable	158,635	141,515
Builder deposits	14,000	10,500
Accrued salaries	19,966	19,133
Accrued compensated absences	83,741	84,059
Total Liabilities	276,342	255,207
Deferred Inflows	2,189,376	2,290,921
Net Position		
Invested in capital assets, net	2,621,124	2,401,190
Unrestricted	6,326,993	5,322,840
Total Net Position	$ 8,948,117	$ 7,724,030

The accompanying notes are an integral part of these statements.

Exhibit A-2

Town of Kensington, Maryland
Statement of Program Activities
For the Year Ended June 30, 2024

		Program Revenue		Net (Expenses) Revenue and Changes in Net Position	
	Expenses	Charges for Services	Operating Grants and Contributions	Governmental Activities	Total
Functions/Programs					
Governmental Activities					
General government	$ 933,397	$ 14,710	$ 8,146	$ (910,541)	$ (910,541)
Building and zoning	123,943	73,624	-	(50,319)	(50,319)
Public works	1,061,752	-	237,221	(824,531)	(824,531)
Public safety	248,957	3,660	-	(245,297)	(245,297)
Parks and recreation	238,564	6,480	20,079	(212,005)	(212,005)
Total Governmental Activities	$ 2,606,613	$ 98,474	$ 265,446	(2,242,693)	(2,242,693)
General Revenues					
Property taxes				1,741,659	1,741,659
State shared taxes				984,227	984,227
Intergovernmental				286,560	286,560
Investment income				442,016	442,016
Miscellaneous				12,318	12,318
Total General Revenues				3,466,780	3,466,780
Changes in Net Position				1,224,087	1,224,087
Net Position, Beginning of Year				7,724,030	7,724,030
Net Position, End of Year				$ 8,948,117	$ 8,948,117

The accompanying notes are an integral part of this statement.

Town of Kensington, Maryland
Statement of Program Activities
For the Year Ended June 30, 2023

		Program Revenue		Net (Expenses) Revenue and Changes in Net Position	
	Expenses	Charges for Services	Operating Grants and Contributions	Governmental Activities	Total
Functions/Programs					
Governmental Activities					
General government	$ 997,419	$ -	$ 19,710	$ (977,709)	$ (977,709)
Building and zoning	124,593	53,824	-	(70,769)	(70,769)
Public works	1,195,183	-	111,690	(1,083,493)	(1,083,493)
Public safety	225,899	4,973	-	(220,926)	(220,926)
Parks and recreation	159,846	26,585	-	(133,261)	(133,261)
Total Governmental Activities	$ 2,702,940	$ 85,382	$ 131,400	(2,486,158)	(2,486,158)
General Revenues					
Property taxes				1,538,128	1,538,128
State shared taxes				1,186,884	1,186,884
Intergovernmental				271,134	271,134
Investment income				273,273	273,273
Miscellaneous				41,857	41,857
Total General Revenues				3,311,276	3,311,276
Changes in Net Position				825,118	825,118
Net Position, Beginning of Year				6,898,912	6,898,912
Net Position, End of Year				$ 7,724,030	$ 7,724,030

The accompanying notes are an integral part of this statement.

Exhibit A-4

Town of Kensington, Maryland
Balance Sheet
Governmental Funds
June 30, 2024

Assets	General Fund	Capital Projects Fund	Total Governmental Funds
Cash and cash equivalents	$ 335,461	$ -	$ 335,461
Investments	8,273,312	-	8,273,312
Receivables, net	40,001	-	40,001
Due from other governments	119,696	-	119,696
Due from other funds	-	5,785,071	5,785,071
Prepaid expenses	24,241	-	24,241
Total Assets	8,792,711	5,785,071	14,577,782
Deferred Outflows	-	-	-
Liabilities			
Accounts payable	158,635	-	158,635
Builder deposits	14,000	-	14,000
Accrued salaries	19,966	-	19,966
Accrued compensated absences - current	13,056		13,056
Due to other funds	5,785,071	-	5,785,071
Total Liabilities	5,990,728	-	5,990,728
Deferred Inflows	2,193,022	-	2,193,022
Fund Balance			
Nonspendable	24,241	-	24,241
Committed	-	1,171,422	1,171,422
Assigned	-	4,613,649	4,613,649
Unassigned	584,720	-	584,720
Total Fund Balance	$ 608,961	$ 5,785,071	$ 6,394,032

Reconciliation of Total Governmental Fund Balance To Net Position of the Governmental Activities

Total Governmental Fund Balance	$ 6,394,032
Amounts reported for governmental activities in the statement of net position are different because:	
Property tax revenues in the Statement of Program Activities that do not provide current financial resources are not reported as revenues in the funds.	3,646
Capital assets used in governmental activities are not financial resources and therefore are not reported in the fund financial statements.	2,621,124
Compensated absences not requiring current financial resources and therefore not reported as expenditures in the fund financial statements.	(70,685)
Net Position of Governmental Activities	$ 8,948,117

The accompanying notes are an integral part of this statement.

Exhibit A-5

Town of Kensington, Maryland
Balance Sheet
Governmental Funds
June 30, 2023

	General Fund	Capital Projects Fund	Total Governmental Funds
Assets			
Cash and cash equivalents	$ 233,878	$ -	$ 233,878
Investments	7,478,821	-	7,478,821
Receivables, net	69,919	-	69,919
Due from other governments	48,335	-	48,335
Due from other funds	-	4,129,461	4,129,461
Prepaid expenses	38,015	-	38,015
Total Assets	7,868,968	4,129,461	11,998,429
Deferred Outflows	-	-	-
Liabilities			
Accounts payable	141,515	-	141,515
Builder deposits	10,500	-	10,500
Accrued salaries	19,133	-	19,133
Accrued compensated absences - current	5,500		5,500
Due to other funds	4,129,461	-	4,129,461
Total Liabilities	4,306,109	-	4,306,109
Deferred Inflows	2,305,076	-	2,305,076
Fund Balance			
Nonspendable	38,015	-	38,015
Committed	-	136,183	136,183
Assigned	972,962	3,993,278	4,966,240
Unassigned	246,806	-	246,806
Total Fund Balance	$ 1,257,783	$ 4,129,461	$ 5,387,244

Reconciliation of Total Governmental Fund Balance To Net Position of the Governmental Activities

Total Governmental Fund Balance	$ 5,387,244
Amounts reported for governmental activities in the statement of net position are different because:	
Property tax revenues in the Statement of Program Activities that do not provide current financial resources are not reported as revenues in the funds.	14,155
Capital assets used in governmental activities are not financial resources and therefore are not reported in the fund financial statements.	2,401,190
Compensated absences not requiring current financial resources and therefore not reported as expenditures in the fund financial statements.	(78,559)
Net Position of Governmental Activities	$ 7,724,030

The accompanying notes are an integral part of this statement.

Exhibit A-6

Town of Kensington, Maryland
Statement of Revenues, Expenditures
and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2024

	General Fund	Capital Projects Fund	Total Governmental Funds
Revenues			
General property taxes	$ 1,752,168	$ -	$ 1,752,168
State shared taxes	984,227	-	984,227
Licenses and permits	73,625	-	73,625
Fines and forfeitures	3,660	-	3,660
Municipal events	11,246	-	11,246
Intergovernmental revenues	420,656	-	420,656
Miscellaneous	50,487	-	50,487
Grants	103,124	-	103,124
Net investment income	442,016	-	442,016
Total Revenues	3,841,209	-	3,841,209
Expenditures			
General government	1,042,604	53,107	1,095,711
Public works	874,913	398,426	1,273,339
Public safety	246,993	-	246,993
Parks and recreation	179,762	38,616	218,378
Total Expenditures	2,344,272	490,149	2,834,421
Changes in Fund Balance	1,496,937	(490,149)	1,006,788
Other Financing Sources (Uses)			
Operating transfers in (out)	(2,145,759)	2,145,759	-
Excess (Deficiency) of Revenues and Other Financing Sources over Expenditures and Other Financing Uses	(648,822)	1,655,610	1,006,788
Fund Balance at Beginning of Year	1,257,783	4,129,461	5,387,244
Fund Balance at End of Year	$ 608,961	$ 5,785,071	$ 6,394,032

The accompanying notes are an integral part of this statement.

Exhibit A-7

Town of Kensington, Maryland
Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2023

	General Fund	Capital Projects Fund	Total Governmental Funds
Revenues			
General property taxes	$ 1,526,271	$ -	$ 1,526,271
State shared taxes	1,186,884	-	1,186,884
Licenses and permits	53,824	-	53,824
Fines and forfeitures	2,048	-	2,048
Municipal events	11,318	-	11,318
Intergovernmental revenues	382,824	-	382,824
Miscellaneous	56,814	-	56,814
Grants	18,800	-	18,800
Net investment income	273,273	-	273,273
Total Revenues	3,512,056	-	3,512,056
Expenditures			
General government	1,039,703	60,235	1,099,938
Public works	882,757	371,091	1,253,848
Public safety	224,007	-	224,007
Parks and recreation	108,929	71,510	180,439
Total Expenditures	2,255,396	502,836	2,758,232
Changes in Fund Balance	1,256,660	(502,836)	753,824
Other Financing Sources (Uses)			
Operating transfers in (out)	(1,862,122)	1,862,122	-
Excess (Deficiency) of Revenues and Other Financing Sources over Expenditures and Other Financing Uses	(605,462)	1,359,286	753,824
Fund Balance at Beginning of Year	1,863,245	2,770,175	4,633,420
Fund Balance at End of Year	$ 1,257,783	$ 4,129,461	$ 5,387,244

The accompanying notes are an integral part of this statement.

Town of Kensington, Maryland
Reconciliation of the Statements of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statements of Program Activities
For the Years Ended June 30,

	2024	**2023**
Net Change in Fund Balances - Total Governmental Funds	$ 1,006,788	$ 753,824
Amounts reported for governmental activities in the Statements of Program Activities are different because:		
Property tax revenues in the Statement of Program Activities that (do) do not provide current financial resources (are) are not reported as revenues in the funds.	(10,509)	11,857
Governmental funds report capital outlays as expenditures in the Statements of Program Activities for the cost of those assets in the period acquired, but expensed over the estimated useful lives as depreciation expense in the government-wide financial statements. Amount by which depreciation expense did (did not) exceed capital outlay expenditures.	219,934	73,531
Compensated absences in the Statement of Program Activities not requiring the use of current financial resources and therefore are (are not) reported as expenditures in the governmental funds.	7,874	(14,094)
Net Changes in Net Position	$ 1,224,087	$ 825,118

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 1 - Summary of Significant Accounting Policies

A. Financial Reporting Entity

The Town of Kensington (Town) was incorporated April 6, 1894 under the laws of the State of Maryland. The Town operates under a Mayor and Council-Manager form of government consisting of a Mayor, Town Council and a Town Manager. The Town provides the following services as authorized by its charter: streets, sanitation, building inspection and general administration services. The basic financial statements of the Town have been prepared in conformity with accounting principles generally accepted in the United States of America (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for established governmental and financial reporting principles. GASB Statement No. 34 includes the following components to the financial statements:

Management's Discussion and Analysis – A narrative introduction and analytical overview of the government's financial activities. This analysis is similar to analysis the private sector provides in their annual reports.

Government-Wide Financial Statements – The government-wide financial statements include the Statement of Net Position and the Statement of Program Activities. These statements report financial information for the Town as a whole.

Statement of Net Position – The Statement of Net Position displays the financial position of the Town. All assets, deferred outflows, liabilities and deferred inflows of resources associated with the operation of the Town are included on the Statement of Net Position. The net position of a government is broken into three categories –1) invested in capital assets, net of related debt; 2) restricted; and 3) unrestricted.

Statement of Program Activities – The Statement of Program Activities reports expenses and revenues in a format that focuses on the cost of each of the government's functions. The expense of individual functions is compared to the revenues generated directly by the function (for instance, through user charges or intergovernmental grants.)

Budgetary Comparison Schedules – Demonstrating compliance with the adopted budget is an important component of a government's accountability to the public. Many citizens participate in the process of establishing the annual operating budgets of state and local governments, and have a keen interest in following the actual financial progress of their governments over the course of the year. The Town and many other governments revise their original budgets over the course of the year for a variety of reasons.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 1 - Summary of Significant Accounting Policies (Continued)

A. Financial Reporting Entity (Continued)

The financial statements were prepared in accordance with GASB Statement No. 14, *The Financial Reporting Entity*, which establishes standards for defining and reporting on the financial reporting entity. The definition of the financial reporting entity is based upon the concept that elected officials are accountable to their constituents for their actions. One of the objectives of financial reporting is to provide users of financial statements with the basis for assessing the accountability of the elected officials. The financial reporting entity consists of the Town of Kensington. There are no organizations for which the Town is financially accountable and there are no component units of the Town.

B. Government-Wide and Fund Financial Statements

The basic financial statements include both government-wide (based on the Town as a whole) and fund financial statements. The reporting model focus is on both the Town as a whole and the fund financial statements, including the major individual funds of the governmental and business-type categories, as well as the fiduciary fund. The government-wide financial statements (i.e., the Statement of Net Position and the Statement of Program Activities) report information on all of the non-fiduciary activities of the Town. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which primarily rely on fees and charges for support. The Town does not have any business-type activities or fiduciary activities at this time.

The Statement of Program Activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported instead as general revenues.

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide statements are reported using the economic resources measurement focus, and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 1 - Summary of Significant Accounting Policies (Continued)

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (Continued)

Governmental fund financial statements are reported using the current resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting.

Property taxes, franchise fees, utility taxes, licenses and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The Town reports unearned revenues on its governmental funds balance sheet. Unearned revenues arise from taxes levied in the current year which are for subsequent years' operations. For governmental fund financial statements unearned revenues arise when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period. Unearned revenues also arise when resources are received before the Town has a legal claim to them, as when grant monies are received prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the Town has a legal claim to the resources, the deferred inflow for unearned revenue is removed from the balance sheet and revenue is recognized.

The Town reports the following major governmental funds:

The General Fund – This is the Town's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

The Capital Projects Fund – The capital projects fund is used to account for financial resources and expenditures applied to the construction of capital facilities and major purchased items for all governmental fund types.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 1 - Summary of Significant Accounting Policies (Continued)

D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position

1. Deposits and Investments

Cash and cash equivalents, which are cash and short-term investments with maturities of three months or less, include cash on hand and demand deposit accounts.

2. Capital Assets

Capital assets, which include land, buildings and equipment, are reported in the governmental column in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than $5,000 and an estimated useful life in excess of three years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. General infrastructure assets acquired prior to July 1, 2004 are not reported in the basic financial statements. Total infrastructure for June 30, 2024 and 2023 was $919,817 and $680,780, respectively. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Property, plant and equipment of the Town are depreciated using the straight-line method over the following estimated useful lives:

Infrastructure - 40 years
Buildings - 20 years
Improvements - 20 years
Office and other equipment - 5 to 15 years

3. Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 1 - Summary of Significant Accounting Policies (Continued)

D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position (Continued)

4. Compensated Absences

Town employees are granted vacation in varying amounts based on length of service. Carryover is limited to two hundred and forty (240) hours per calendar year. Unused vacation pay, if any, is paid with the employee's termination or retirement. Those amounts estimated to be liquidated with expendable available financial resources from the general fund are reported as an expenditure and a fund liability of the general fund.

5. Property Taxes

Property taxes for the current year were assessed by the State Department of Assessments and Taxation and collected by Montgomery County and subsequently remitted to the Town. Property taxes are assessed on July 1st and are due and payable according to applicable laws. All unpaid taxes levied July 1st become delinquent on October 1st and January 1st. The real property tax rates for the Town for the fiscal years ended June 30, 2024 and 2023 were .1312 per $100 of assessed taxable value. The corporate and personal property tax rates for the Town for the fiscal years ended June 30, 2024 and 2023 were .80 per $100 of assessed taxable value. The public utility tax rates for the Town for the fiscal years ended June 30, 2024 and 2023 were 5.00 per $100 of assessed taxable value, respectively. Procedures for the collection of delinquent taxes by Montgomery County are provided for in the laws of Maryland.

6. Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America require management to make estimates that affect the amounts reported in the financial statements and accompanying notes. Accordingly, actual results could differ from those estimates.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 1 - Summary of Significant Accounting Policies (Continued)

D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position (Continued)

7. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position includes a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The Town has no deferred outflows of resources for the years ended June 30, 2024 and 2023.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources,* represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The Town currently recognizes unearned revenues (“unavailable” tax revenue received more than 60 days after year-end) as a deferred inflow. The Town’s deferred inflows of resources consist of grant funds received but not spent, property taxes and unearned income collected for the farmer’s market.

8. Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources on the government-wide financial statements. Net position is classified in the following categories:

Net investment in capital assets –This amount consists of capital assets net of accumulated depreciation and reduced by outstanding debt that is attributed to the acquisition, construction, or improvement of the assets.

Restricted net position – This amount is restricted by creditors, grantors, contributors, or laws or regulations of other governments.

Unrestricted net position – This amount is the net position that does not meet the definition of “net investment in capital assets” or “restricted net position”.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 2 – Reconciliation of Government-Wide and Fund Financial Statements

A. Explanation of certain differences between the governmental fund balance and the government-wide statement of net position:

The governmental fund balance sheet includes reconciliation between fund balance – total government funds and net position – governmental activities as reported in the government-wide statement of net position.

Note 3 – Detailed Notes on All Funds

A. Deposits and Investments

Deposits

State statutes require all deposits be insured by the Federal Depository Insurance Corporation (FDIC) or fully collateralized. Town administration is authorized to invest in those instruments authorized by Maryland Statutes.

At June 30, 2024 and 2023, the carrying amount of the Town's deposits totaled $335,461 and $233,878 and the bank balances totaled $349,801 and $392,781, respectively. Of the bank balances at June 30, 2024 and 2023, $250,000 was covered by FDIC, respectively. For fiscal year ended June 30, 2024, the remaining balance is fully collateralized. For the fiscal year ended June 30, 2023, $94,645 was not covered by FDIC or collateralized. This violation of the State statute was corrected on September 27, 2023.

Investments – Maryland Local Government Investment Pool

The Town is a participant of the Maryland Local Government Investment Pool (MLGIP), which provides all local government units of the State a safe investment vehicle for the short-term investment of funds. The State Legislature created MLGIP with the passage of Article 95 22G, of the Annotated Code of Maryland. The MLGIP, under the administrative control of the State Treasurer, has been managed by a single Baltimore-based financial institution, PNC Bank. An MLGIP advisory committee of current participants was formed to review, on a quarterly basis, the activities of the Fund and to provide suggestions to enhance the pool. The MLGIP has an AAAm rating. The fair value of the pool is the same as the value of the pooled shares. At June 30, 2024 and 2023, the Town had $6,432,764 and $5,731,279, respectively invested in the Pool.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (continued)

A. Deposits and Investments (continued)

Investments – Montgomery County Maryland Investment Pool

The Town is a participant of the Montgomery County Maryland Investment Pool. These funds are part of collateralized investment pools. The Fund is managed by Montgomery County, Maryland, with oversight by the investment committee and in compliance with the Annotated Code of Maryland. The investment pool is comprised of commercial paper, the Maryland Local Government Investment Pool (MLGIP), and U.S. Government securities. The fair value of the pool is the same as the value of the pooled shares. Investment income during the year is allocated to pool participants based upon their average equity in the pool. At June 30, 2024 and 2023, the Town had $518,478 and $491,336, respectively invested in the Pool.

Investment Custodial Credit Risk

For an investment, custodial credit risk is the risk that, in the event of failure of the counterparty, The Town will not be able to recover all or a portion of the value of its investments or collateral securities that are in the possession of an outside party. There are three categories of custodial credit risk. Category 1 includes investments that are insured or registered or where securities are held by the Town or its agents, in the Town's name. Category 2 includes uninsured and unregistered investments for which the counterparty's trust department or agent in the Town's name holds the securities. Category 3 includes uninsured and unregistered where the securities are held by the financial institution's trust department or agent, but not in the Town's name. At June 30, 2024 and 2023, all of the Town investments are insured or registered, or for which the securities are held by the Town or its agent in the Town's name or are invested in the MLGIP and Montgomery County Maryland Investment Pool.

The Town categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The Town has the following recurring fair value measurements as of June 30, 2024 and 2023:

- Maryland Local Government Investment Pool mutual funds of $6,432,764 and $5,731,279, respectively and are valued using quoted market prices (Level 1 inputs).

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (Continued)

A. Deposits and Investments (continued)

- Montgomery County Investment Pool mutual funds of $518,478 and $491,336, for the years ended June 30, 2024 and 2023, respectively and are valued using quoted market prices (Level 1 inputs).
- Treasury bills of $1,322,070 and $1,256,206, for the years ended June 30, 2024 and 2023, respectively and are valued using price quotes in active markets for securities.

B. Receivables

Receivables as of June 30, 2024 and 2023 for the Town's individual major and non-major governmental funds, in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

	2024	2023
Receivables		
Property taxes	$ 6,990	$ 14,155
Other	33,011	55,764
Gross receivables	40,001	69,919
Less: allowance for uncollectibles	-	-
Total Receivables - Net	$ 40,001	$ 69,919

Governmental funds report unearned revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (Continued)

C. Due From Other Governments

Due from other governments represents accrued revenue at June 30, 2024 and 2023 consisting of the following:

Governmental Activities:

	2024	2023
Primary Government		
State - General fund	$ 57,089	$ 32,456
County - General fund	62,607	15,879
Total Primary Government	$ 119,696	$ 48,335

Governmental Funds:

	2024	2023
Primary Government		
State - General fund	$ 57,089	$ 32,456
County - General fund	62,607	15,879
Total Primary Government	$ 119,696	$ 48,335

D. Fund Balance

The Governmental Accounting Standards Board (GASB) issued Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions* (GASB 54). This Statement defines the different types of fund balances that a governmental entity must use for financial reporting purposes. GASB 54 requires the fund balance amounts to be properly reported within one of the fund balance categories listed below:

Nonspendable – such as fund balance associated with inventories, prepaid expenses, long-term loans and notes receivable and property held for resale.

Restricted fund balance – includes amounts that can be spent only for the specific purposes stipulated by constitution, external resource providers or by law through enabling legislation.

Committed fund balance – includes amounts that can be used only for the specific purposes determined by a formal action of the Mayor and Council of the Town of Kensington.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (Continued)

D. Fund Balance (continued)

Assigned fund balance – includes amounts to be used by the government for specific purposes but do not meet the criteria to be classified as restricted or committed.

Unassigned fund balance – is the residual classification for the government's general fund and includes all spendable amounts not contained in the other classifications.

Nonspendable Fund Balance

The Town's nonspendable fund balance includes prepaid expenses of $24,241 and $38,015 for the years ended June 30, 2024 and 2023, respectively.

Assigned Fund Balance

The Town's assigned fund balance includes the projected use of fund balance for operating and capital improvement projects deficit as approved in the subsequent years' budget, and includes the intended use for special projects encumbered by the Mayor and Town Council under the direction of the Town Manager.

The following schedule lists the assigned fund balances in the capital projects fund as of June 30:

	2024	2023
Equipment and vehicle replacement program	$ 251,057	$ 271,139
Street light replacement program	36,317	36,317
Town parks and playground improvements	135,902	99,518
Town hall improvements	187,453	165,560
Bridge reconstruction and renovation program	291,437	143,871
Storm drain reconstruction and renovation program	2,254,208	1,273,017
Property acquisition	474,296	987,796
Public works facility improvement	200,000	150,000
Facilities capital reserve	300,000	250,000
Pavement management program	482,979	616,060
Total Assigned Fund Balance	$ 4,613,649	$ 3,993,278

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (Continued)

D. Fund Balance (Continued)

Assigned fund balance in the general fund of $0 and $972,962 for the years ended June 30, 2024 and 2023, respectively includes amounts to fund the subsequent fiscal year budget.

Committed Fund Balance

The Town's committed fund balance in the capital projects fund includes bridge reconstruction and renovation program, property acquisition and the storm drain reconstruction and renovation program for which a contract has been signed. For the years ended June 30, 2024 and 2023 the committed fund balance was $1,171,422 and $136,183, respectively.

Order of Fund Balance Spending Policy

The Town's policy is to apply expenditures against non-spendable fund balance, restricted fund balance, committed fund balance, assigned fund balance, and unassigned fund balance at the end of the fiscal year.

First non-spendable fund balance is determined. Then restricted fund balances for specific purposes are determined, followed by committed fund balance and assigned fund balance. Unassigned fund balance cannot fall to a negative balance.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (Continued)

E. Capital Assets

Capital asset activity for the year ended June 30, 2024 was as follows:

	June 30, 2023	Increases	Decreases	June 30, 2024
Governmental Activities:				
Capital assets, not being depreciated				
Land	$ 264,353	$ 10,000	$ -	$ 274,353
Land improvements	995,894	-	-	995,894
Total capital assets, not being depreciated	1,260,247	10,000	-	1,270,247
Capital assets, being depreciated				
Infrastructure	680,780	239,037	-	919,817
Buildings and improvements	2,211,544	75,193	-	2,286,737
Leasehold improvements	30,060	-	-	30,060
Equipment	647,054	-	(6,145)	640,909
Total capital assets, being depreciated	3,569,438	314,230	(6,145)	3,877,523
Less accumulated depreciation for:				
Infrastructure	(188,255)	(17,206)	-	(205,461)
Buildings and improvements	(1,777,742)	(49,428)	-	(1,827,170)
Leasehold improvements	(3,055)	(3,908)	-	(6,963)
Equipment	(459,443)	(33,754)	6,145	(487,052)
Total accumulated depreciation	(2,428,495)	(104,296)	6,145	(2,526,646)
Total capital assets, being depreciated, net	1,140,943	209,934	-	1,350,877
Governmental activities capital assets, net	$ 2,401,190	$ 219,934	$ -	$ 2,621,124

Depreciation expense was charged to function/programs of the primary government as follows:

Governmental activities:	2024	2023
General government	$ 3,506	$ 1,276
Building	48,063	49,457
Public works	32,541	36,943
Parks and recreation	20,186	25,063
Total depreciation expense, governmental activities	$ 104,296	$ 112,739

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 3 – Detailed Notes on All Funds (Continued)

F. Long-Term Debt

Changes in accrued compensated absences:

	2024	2023
Long-term balance beginning of year	$ 78,559	$ 64,465
Additions	5,182	19,594
Less: current portion	(13,056)	(5,500)
Long-term balance end of year	$ 70,685	$ 78,559

Note 4 – Commitment and Contingencies

Risk Management

The Town is exposed to various risks of loss related to torts, theft of or damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters for which the Town carries insurance through Local Government Insurance Trust. For the years ended June 30, 2024 and 2023 the Town paid annual premiums of approximately $17,306 and $15,291, respectively, to the pool for its general, auto, umbrella and property insurance coverage. Claims over the past three years have been significantly less than that amount. The agreement with the pool provides that the pool will be self-sustaining through member premiums, and will reinsure through commercial companies for claims in excess of $1,000,000. The Town continues to carry commercial insurance for health, dental, life, short-term disability and workers compensation. Settled claims resulting from these risks have not exceeded commercial insurance coverage, and no significant reductions in insurance coverage have occurred, in any of the past three fiscal years.

License Agreement

In February 2010, the Town entered into a license agreement with Montgomery County Maryland to design and construct a surface parking lot on property owned by Konterra Limited Partnership. Konterra Limited Partnership has granted a permanent and perpetual easement to the County for the land containing the parking lot. In prior years the Town has received $446,600 to assist in funding construction, and the Town has funded the additional construction costs. The County has granted the Town the right to the exclusive use of the lot under the license agreement for ten years beginning February 11, 2010, with three additional ten-year option periods. If the Town is not notified of the County's intent to terminate the agreement, the agreement will automatically renew. The Town is currently in year five of option period one. The Town is obligated to pay a quarterly fee to the County consisting of a percentage of the gross revenues from parking lot operations after deducting maintenance expenses and the additional construction costs incurred by the Town.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 4 – Commitment and Contingencies (Continued)

<u>Montgomery Municipal Cable</u>

Effective November 20, 2003, the Town entered into an agreement with Montgomery Municipal Cable, Inc. (MMC) for the use of certain facilities at Town Hall. In exchange MMC agreed that all cable franchise fees received by the Town from the County (that otherwise would have been required to be remitted to MMC) could be retained by the Town. The agreement, originally expected to end in November 2020, was renewed and will continue until November 2030. The franchise fees collected pursuant to this agreement were $22,892 and $24,301 for the fiscal years ended June 30, 2024 and 2023, respectively.

<u>Easement Agreement</u>

Effective August 9, 2019, the Town was granted an easement on property owned by Konterra Limited Partnership on Metropolitan Avenue in the Town. This easement was created in order to permit the Town to construct, install, operate, control and maintain within the easement area a dog park. The agreement shall remain in full force and effect for a minimum of three years from August 9, 2019. Thereafter either party may terminate the agreement by issuance of a ninety (90) day prior written notice to the other Party. The Town plans on continuing the agreement and no notice has been received from Konterra as of completion of this audit.

<u>Copier Lease</u>

On August 11, 2021, the Town entered into a copier lease. The lease payments are $314 per month and the lease expires August 31, 2026. Minimum lease payments for the next five years are as follows: Fiscal years - 2025 - $3,768, 2026 - $3,768, 2027 - $0, 2028 - $0, 2029 - $0.

Note 5 - Retirement Plans

Effective August 1, 2010, the Town has established a 401A money purchase retirement plan known as the Town of Kensington Retirement Plan to benefit employees by providing funds for retirement. All full time employees hired after January 1, 2009 are eligible to participate in the 401A money purchase plan as well as the eligible employees who were in the terminated defined benefit plan.

Effective August 1, 2010, the Town has established a 457 deferred compensation plan known as the Town of Kensington Deferred Compensation plan for its employees. This plan allows pretax deferrals from employees up to the maximum set by IRS regulations. Employees are fully vested in the pretax deferrals made to this plan.

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 5 - Retirement Plans (continued)

The employer shall contribute 10% of employee compensation as long as the employee contributes 5% into the 457 deferred compensation plan. Employees are fully vested in employer contributions after five years of service. The contributions made for the fiscal years ending June 30, 2024 and 2023 were $85,011 and $75,887, respectively.

Note 6 – Grants

The Town receives financial assistance from federal, state and local governmental agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any unallowed disbursements resulting from such audits could become a liability of the Town. In the opinion of Town management, no material refunds will be required as a result of unallowed disbursements (if any), by the grantor agencies.

Note 7 - Deferred Inflows

The American Rescue Plan Act (ARPA) was signed into Federal law in March of 2021, and established the Coronavirus State and Local Fiscal Recovery Funds (SLFRF) program. This program provides financial support to State and Local governments in responding to the economic and public health impacts of COVID-19 and in their efforts to contain impacts on their communities, residents, and businesses. These funds may be used to cover eligible program costs incurred during the period beginning on March 3, 2021 and ending on December 31, 2024, as long as the award funds incurred by December 31, 2024 are expended by December 31, 2026. Any funds not obligated or expended for eligible uses during this period must be returned to the U.S. Treasury.

The Town applied for and was awarded SLFRF funding passed through the State of Maryland in the amount of $2,295,528 of which $1,147,335 was received in August of 2021 with the second payment of $1,148,193 being received in August of 2022. Revenue recognition of these funds will be deferred until the related eligible expenditures are incurred.

Deferred inflows consist of the following on the Statements of Net Position as of June 30, 2024 and 2023:

	2024	2023
Grant funds received but not spent	$ 2,182,604	$ 2,285,728
Unearned income from other sources	6,772	5,193
Total Deferred Inflows	$ 2,189,376	$ 2,290,921

TOWN OF KENSINGTON, MARYLAND
Notes to Financial Statements
June 30, 2024 and 2023

Note 7 - Deferred Inflows (continued)

Deferred inflows consist of the following on the Balance Sheets – Governmental Funds as of June 30, 2024 and 2023:

	2024	2023
Grant funds received but not spent	$ 2,182,604	$ 2,285,728
Unearned income from other sources	6,772	5,193
Property taxes	3,646	14,155
Total Deferred Inflows	$ 2,193,022	$ 2,305,076

Note 8 – Upcoming Pronouncements

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the Town beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences. The Town's management has not yet determined the effect these Statements will have on the Town's financial statements.

Note 9 – Subsequent Events

Management has evaluated subsequent events through October 23, 2024, the date that the financial statements were available to be issued. There were no significant events to disclose.

REQUIRED SUPPLEMENTARY INFORMATION

Town of Kensington, Maryland
Required Supplementary Information
Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2024

Revenues	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts	Variance with Final Budget Positive (Negative)
Taxes				
Local				
Real property tax	$ 899,966	$ 899,966	$ 966,409	$ 66,443
Personal and ordinary business	127,802	127,802	163,906	36,104
Public utilities tax	499,620	499,620	581,473	81,853
Total Taxes - Local	1,527,388	1,527,388	1,711,788	184,400
Additions and abatements - prior years	-	-	40,380	40,380
Total Taxes - Local - Net	1,527,388	1,527,388	1,752,168	224,780
State Shared				
Income taxes	800,000	800,000	983,103	183,103
Admissions and amusements tax	500	500	1,124	624
Total Taxes - State Shared	800,500	800,500	984,227	183,727
Total Taxes	2,327,888	2,327,888	2,736,395	408,507
Licenses and Permits				
Town building and sign permits	12,000	12,000	44,115	32,115
Parking permits	4,560	4,560	3,745	(815)
Traders' licenses	2,550	2,550	2,873	323
Cable franchise fees	23,200	23,200	22,892	(308)
Total Licenses and Permits	42,310	42,310	73,625	31,315
Intergovernmental Revenues				
County tax duplication payment	289,858	289,858	282,334	(7,524)
State highway user funds	136,189	136,189	134,096	(2,093)
Financial corporation -bank shares	4,226	4,226	4,226	-
Total Intergovernmental Revenues	$ 430,273	$ 430,273	$ 420,656	$ (9,617)

Continued

Town of Kensington, Maryland
Required Supplementary Information
Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2024

	Budgeted Amounts			Variance with Final Budget
	Original	Final	Actual Amounts	Positive (Negative)
Grants				
Grant - ARPA	$ 1,148,193	$ 1,148,193	$ 103,124	$ (1,045,069)
Total Grants	1,148,193	1,148,193	103,124	(1,045,069)
Fines and Forfeitures				
Parking and municipal infractions	1,000	1,000	3,660	2,660
Total Fines and Forfeitures	1,000	1,000	3,660	2,660
Miscellaneous				
Town hall rentals	8,000	8,000	14,710	6,710
Park rentals	2,500	2,500	3,380	880
Miscellaneous revenues	2,500	2,500	32,397	29,897
Municipal events	9,500	9,500	11,246	1,746
Investment income - net	175,000	175,000	442,016	267,016
Total Miscellaneous	197,500	197,500	503,749	306,249
Total Revenues	$ 4,147,164	$ 4,147,164	$ 3,841,209	$ (305,955)

Continued

Town of Kensington, Maryland
Required Supplementary Information
Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2024

Expenditures	Budgeted Amounts Original	Budgeted Amounts Final	Actual Amounts	Variance with Final Budget Positive (Negative)
General Government				
Legislative and Executive				
Mayor and council compensation	$ 24,000	$ 24,000	$ 21,000	$ 3,000
Mayor and council - other	17,850	17,850	11,641	6,209
Total Legislative and Executive	41,850	41,850	32,641	9,209
Financial Administration				
Salaries and wages	558,740	558,740	491,689	67,051
Health/life/employee benefits	60,615	60,615	59,409	1,206
Payroll taxes	42,152	42,152	36,607	5,545
Employee retirement	45,083	45,083	44,664	419
Other professional services	140,525	140,525	106,132	34,393
Audit	13,000	13,000	13,000	-
Town attorney	50,000	50,000	17,767	32,233
Municipal dues, memberships and fees	11,025	11,025	9,784	1,241
Office expense	33,800	33,800	24,589	9,211
Insurance	21,000	21,000	17,306	3,694
Workers compensation insurance	4,685	4,685	3,608	1,077
Conferences, training and travel	6,500	6,500	3,121	3,379
Total Financial Administration	987,125	987,125	827,676	159,449
Municipal Building				
Town Hall maintenance	73,400	73,400	42,376	31,024
Town Hall utilities	45,700	45,700	32,087	13,613
Town Hall equipment	6,000	6,000	1,417	4,583
Total Municipal Building	125,100	125,100	75,880	49,220
Other General Government				
Office equipment/furniture	2,000	2,000	500	1,500
Economic development and commercial revitalization	185,650	185,650	105,907	79,743
Miscellaneous	3,000	3,000	-	3,000
Contingency	25,000	25,000	-	25,000
Total Other General Government	215,650	215,650	106,407	109,243
Total General Government Expenditures	$ 1,369,725	$ 1,369,725	$ 1,042,604	$ 327,121

Continued

Town of Kensington, Maryland
Required Supplementary Information
Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2024

	Budgeted Amounts			Variance with Final Budget
	Original	Final	Actual Amounts	Positive (Negative)
Public Safety				
Salaries and wages	$ 192,070	$ 192,070	$ 129,646	$ 62,424
Health/life/employee benefits	12,166	12,166	11,756	410
Payroll taxes	14,503	14,503	10,061	4,442
Employee retirement	6,031	6,031	5,874	157
Workers compensation insurance	11,073	11,073	8,372	2,701
Traffic control and engineering	15,000	15,000	24,590	(9,590)
Miscellaneous	3,500	3,500	998	2,502
Parking lot lighting (metropolitan)	1,500	1,500	801	699
Public street lighting	60,000	60,000	54,895	5,105
Total Public Safety	315,843	315,843	246,993	68,850
Parks and Recreation				
Municipal events	104,650	104,650	110,484	(5,834)
Park supplies and professional services	27,500	27,500	22,190	5,310
Park utilities	11,250	11,250	4,991	6,259
Park landscaping	60,000	60,000	42,097	17,903
Total Parks and Recreation	$ 203,400	$ 203,400	$ 179,762	$ 23,638

Continued

Town of Kensington, Maryland
Required Supplementary Information
Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2024

	Budgeted Amounts			Variance with Final Budget
	Original	Final	Actual Amounts	Positive (Negative)
Public Works				
Salaries and wages	$ 394,409	$ 394,409	$ 360,891	$ 33,518
Health/life/employee benefits	115,011	115,011	94,904	20,107
Payroll taxes	29,220	29,220	27,852	1,368
Workers compensation insurance	16,863	16,863	13,388	3,475
Employee retirement	34,996	34,996	34,474	522
Drug testing	1,000	1,000	-	1,000
Street maintenance	20,000	20,000	23,546	(3,546)
Landscaping vegetation management	25,000	25,000	21,626	3,374
Landscaping street trees maintenance and planting	125,000	125,000	59,615	65,385
Storm drain maintenance	12,000	12,000	-	12,000
Sidewalk repair	12,000	12,000	-	12,000
Street sweeping	12,000	12,000	9,998	2,002
Snow removal	8,500	8,500	3,175	5,325
Small equipment purchases	12,500	12,500	3,613	8,887
Vehicle fuel expenses	12,500	12,500	8,964	3,536
Shop supplies and tools	4,000	4,000	2,805	1,195
Uniforms, gloves, vests, boots and shirts	3,500	3,500	1,712	1,788
Miscellaneous	1,000	1,000	162	838
Conference, training and travel	500	500	-	500
Small equipment maintenance and repairs	3,500	3,500	2,977	523
Garage maintenance, miscellaneous and utilities	9,900	9,900	4,263	5,637
Vehicle repairs	20,000	20,000	14,077	5,923
Trash, brush and recycling collection	185,000	185,000	183,273	1,727
Leaf collection and other disposal fees	27,000	27,000	3,598	23,402
Total Public Works	1,085,399	1,085,399	874,913	210,486
Total Expenditures	$ 2,974,367	$ 2,974,367	$ 2,344,272	$ 630,095

The accompanying notes are an integral part of this schedule.

TOWN OF KENSINGTON, MARYLAND
Notes to Required Supplementary Information
June 30, 2024

Note 1 – Summary of Significant Budget Policies

The Town Council annually adopts a budget for the General Fund of the primary government. All appropriations are legally controlled at the departmental level for the General Fund. On May 8, 2023, the Town Council approved the original adopted budget. There were no budget amendments in fiscal year 2024.

The budgets are integrated into the accounting system, and the budgetary data, as presented in the financial statements for all funds with annual budgets, compare the expenditures with the amended budgets. All budgets are presented on the modified accrual basis of accounting. Accordingly, the accompanying Budgetary Comparison Schedule for the General Fund presents actual expenditures in accordance with the accounting principles generally accepted in the United States on a basis consistent with the legally adopted budgets as amended. Unexpended appropriations on the annual budget lapse at the end of each fiscal year.

Note 2 – Material Violations

There were no material violations of the general fund annual appropriated budget for the fiscal year ended June 30, 2024. In addition, there were no excesses of budgetary expenditures for that period.

CERTIFIED PUBLIC ACCOUNTANTS
& BUSINESS ADVISORS

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Mayor and Council of the
Town of Kensington, Maryland

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities and each major fund of the Town of Kensington, Maryland, as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the the Town of Kensington's basic financial statements, and have issued our report thereon dated October 23, 2024.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Town of Kensington, Maryland's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Town of Kensington, Maryland's internal control. Accordingly, we do not express an opinion on the effectiveness of the Town of Kensington, Maryland's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements, on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Town of Kensington, Maryland's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

LSWG, P.A.

Rockville, Maryland
October 23, 2024

FREDERICK • ROCKVILLE

www.lswgcpa.com